

Report of the Portfolio Committee on Communications and Digital Technologies on the 2024/25 Third and Fourth Quarter Performance and Expenditure Reports of the Department of Communications and Digital Technologies, dated 7 October 2025

The Portfolio Committee on Communications and Digital Technologies (the Committee), having considered the 2024/25 Third and Fourth Quarter Performance and Expenditure Reports of the Department of Communications and Digital Technologies and all its Entities, hereafter referred to as “the Department,” reports as follows:

The Department of Communications and Digital Technologies had a total budget of R4 billion for the 2024/25 financial year. Current payments amount to R2.4 billion of the total budget. Of this, R312.5 million is for Compensation of Employees and R2 billion for Goods and Services, while Transfers and Subsidies account for R1.6 billion of the budget. These are transfers to departmental agencies and accounts including Films and Publication Board (FPB), Independent Communications Authority of South Africa (ICASA), National Electronic Media Institute of South Africa (NEMISA), Universal Service and Access Agency of South Africa (USAASA) and Universal Service and Access Fund (USAF), South African Broadcasting Corporation (SABC) the South African Post Office (SAPO).

The Committee met with the Department and its Entities on 13, 20 and 30 May 2025, and on 18, 27 June 2025 to deliberate on the 2024/25 Third and Fourth Quarter Performance and Expenditure Report.

1. Introduction

The Committee considered the 2024/25 Third and Fourth Quarter Performance and Expenditure Reports (01 October 2024 to 31 December 2024 and 01 January 2025 to 31 March 2025) of the Department and its Entities on 13, 20 and 30 May 2025, and on 18, 27 June 2025.

The Department of Communications and Digital Technologies (DCDT) was established in April 2020 through the merger of the Department of Communications and the Department of Telecommunications and Postal Services.

The DCDT 2024/25 Annual Performance Plan is aligned to the Revised 2019-2024 Medium-Term Strategic Framework (MTSF) of government, which outlines specific outcomes and priorities aimed at addressing the challenges of poverty, economic growth, inequality and unemployment. In line with the mandate of the DCDT, the priorities for the medium-term are:

Developing and maintaining a financially sustainable portfolio enables the achievement of their respective mandates and policy objectives.

- Enabling Digital Transformation Policies, Strategies and Regulations
- Digitally Transformed Economy and Society
- A performing and financially sustainable portfolio to enable the achievement of their respective mandates and policy objectives
- Increased access to secure Digital Infrastructure and Services

This report provides an overview of the Department's presentations, focusing on its achievements and outputs about performance indicators, targets, and financial performance for the 2024/25 financial year. The report also provides the Committee's key observations, deliberations and recommendations about the performance presentations made by the Department and its Entities.

2. Quarter 3 and 4 Organisational Performance Against the APP

The Department committed to achieving 26 Annual Performance Plan (APP) quarterly targets by the end of the Third Quarter (01 October - 31 December 2024) of the 2024/25 financial year. This is the total number of Quarter Three APP targets of all six Programmes of the DCDT. Overall, the Department has achieved 21 (81%) of the Third Quarter APP targets, and 5 (19%) were not achieved, see graph below.

Figure 1: DCDT 2024/25 Q3 Performance

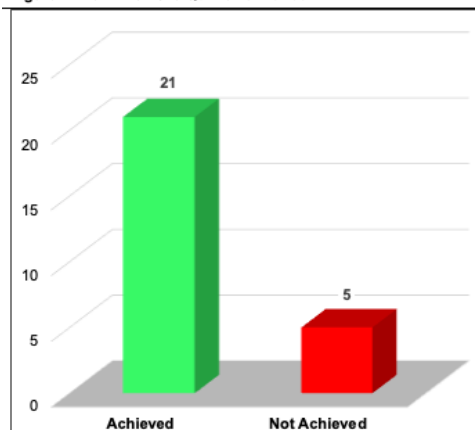
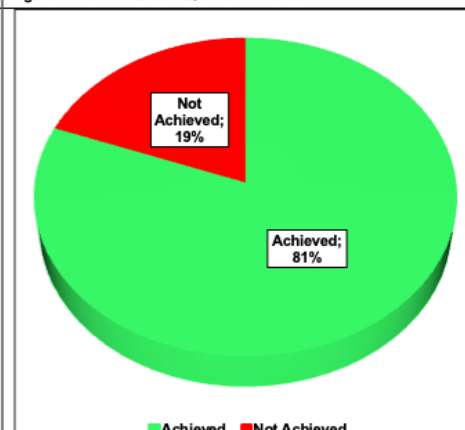
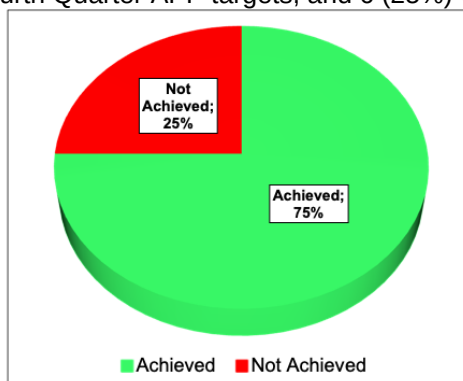
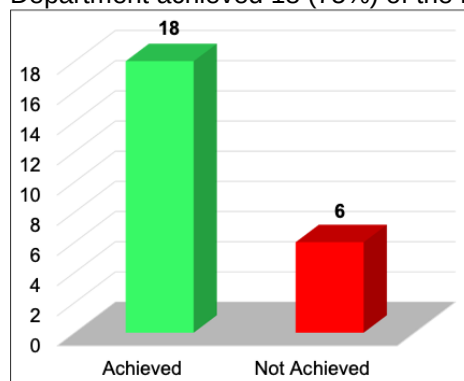


Figure 2: DCDT 2024/25 Q3 Performance



The Department committed to achieving 24 Annual Performance Plan (APP) quarterly targets by the end of the Fourth Quarter (01 January - 31 March 2025) of the 2024/25 financial year. Overall, the Department achieved 18 (75%) of the Fourth Quarter APP targets, and 6 (25%) were not achieved.



2.1 Quarter 3 Performance Per Programme

The table below is a summary of Third Quarter performance per programme against APP targets:

Programme	Total APP Targets	Achieved	Not Achieved	% Achieved
Administration	4	4	0	100%
ICT International Relations and Affairs	5	5	0	100%
ICT Policy Development and Research	3	1	2	33%
ICT Enterprise and Public Entity Oversight	6	5	1	83%
ICT Infrastructure Development and Support	4	4	0	100%
ICT Information Society and Capacity Development	4	2	2	50%
Total	26	21	5	81%

The Administration Programme is committed to achieving **four** APP Targets by the end of Quarter Three, 01 October - 31 December 2024. Of these APP targets, **all four** (100%) APP targets were achieved.

The ICT International Relations and Affairs Programme is committed to achieving **five** APP targets by the end of Quarter Three, 01 October– 31 December 2024. All **five** (100%) APP targets were achieved.

The ICT Policy Development and Research Programme is committed to achieving **three** APP targets by the end of Quarter Three, 01 October – 31 December 2024. Of these APP targets, **one** (33%) APP target was achieved, and **two** (67%) were not achieved.

The ICT Enterprise and Public Entity Oversight Programme is committed to achieving **six** APP targets by the end of Quarter Three, 01 October – 31 December 2024. Of these APP targets, **five** (100%) were achieved, and **one** (17%) was not achieved.

The ICT Infrastructure Development and Support Programme is committed to achieving **four** APP targets by the end of Quarter Three, 01 October - 31 December 2024. Of these APP targets, all **four** (100%) APP targets were achieved.

ICT Information Society and Capacity Development Programme committed to achieving **four** APP quarterly targets by the end of Quarter Three, 01 October – 31 December 2024. Of these APP targets, **two** (50%) were achieved and **two** (50%) were not achieved.

2.1.1 Non-Achieved Targets

The Department did not achieve the following planned quarterly targets as reflected below:

- Audio- and Audio-Visual Content Services and Online Content Safety Bill submitted to the Cluster and Cabinet for approval to introduce in Parliament
 - The finalisation of the Implementation strategy and action plan is dependent on the approval of the Audio and Audio-Visual Content Services and Online Content Safety White Paper.
 - Given the fact that the White Paper has not been approved, the unit could not proceed to the Bill stage.
- Implementation of the Digital Economy Masterplan monitored:
 - The timing of when surveys were issued to stakeholders did not provide ample time for stakeholders to respond.
 - The supporting evidence was not sufficient to support achievement in line with the implementation plan.
- PC4IR Strategic implementation plan coordinated
 - Lack of a dedicated resource led to the non-submission of the coordination report to assist the department in tracking progress against the planned activities
 - The supporting evidence was not sufficient to support achievement in line with the implementation plan.
- Automation of the e-Government services on the e-Portal is monitored.
 - The supporting evidence was not enough to support achievement in line with the required Portfolio of Evidence (POE).
- An 80% increase in the implementation of the DCDT Integrated Plan of Action, supporting the NSP on GBV, has been coordinated.
 - Inadequate information to confirm reported achievements.
 - The report was not developed in line with the required standards for the target to be achieved.

2.2 Quarter 4 Performance Per Programme

The table below is a summary of Quarter Four performance per programme against APP targets

Programme	Total APP Targets	Achieved	Not Achieved	% Achieved
Administration	3	3	0	100%
ICT International Relations and Affairs	2	2	0	100%
ICT Policy Development and Research	4	1	3	25%
ICT Enterprise and Public Entity Oversight	6	6	0	100%
ICT Infrastructure Development and Support	3	3	0	100%
ICT Information Society and Capacity Development	6	3	3	50
Total	24	18	6	75%

The Administration Programme is committed to achieving **three** APP targets by the end of Quarter Four, 01 January - 31 March 2025. Of these APP targets, all **three** (100%) APP targets were achieved.

The ICT International Relations and Affairs Programme is committed to achieving **two** APP targets by the end of Quarter Four, 01 January– 31 March 2025. Of these APP targets, both (100%) targets were achieved.

The ICT Policy Development and Research Programme is committed to achieving **four** APP targets by the end of Quarter Four, 01 January – 31 March 2025. Of these APP targets, only **one** (25%) was achieved, and **three** (75%) were not achieved.

The ICT Enterprise and Public Entity Oversight Programme is committed to achieving **six** APP targets by the end of Quarter Four, 01 January – 31 March 2025. Of these APP targets, all **six** (100%) targets were achieved.

The ICT Infrastructure Development and Support Programme is committed to achieving **three** APP targets by the end of Quarter Four, 01 January – 31 March 2025. Of these APP targets, all **three** (100%) targets were achieved.

The ICT Information Society and Capacity Development Programme is committed to achieving **six** APP quarterly targets by the end of Quarter Four, 1 January – 31 March 2025. Of these APP targets, **three** (50%) targets were achieved and **three** (50%) were not achieved.

2.2.1 Non-Achieved Targets

By the end of Quarter Four, the Department did not achieve **six** APP-planned quarterly targets as reflected below:

- Audio - and Audio-Visual Content Services and Online Content Safety Bill submitted to the Cluster and Cabinet for approval to introduce in Parliament
- Implementation of the Digital Economy Masterplan monitored
- PC4IR Strategic implementation plan coordinated
- 80% increase in the DCDT integrated Plan of Action implemented in support of the NSP on GBV coordinated
- 2 Monitoring reports on the participation of women, youth, and persons with disabilities in procurement, SMME Development and Employment Equity in the ICT Sector developed
- Implementation of DDM Plan in the prioritised Districts/ Metros coordinated

2.2.2 Action Towards Addressing Non-Performance

The Department has taken the following actions for targets not achieved and consequence management against poor performance:

- Warning letters were issued against managers where their targets were not achieved
- Catch-up plans were developed to ensure that the interventions that were not achieved are executed
- The Department will also take managers for training whose targets were not achieved
- Some of the targets were carried over to the current financial year
- The Department has also advertised vacant positions to ameliorate the constrained human resources

3. Expenditure Analysis

3.1 Quarter 3 Expenditure Performance

PROGRAMME	Adjusted Budget	BUDGET %	Budget to 31 December 2024	Budget % to 31 December 2024	Expenditure as at 31 December 2024 R'000	VARIANCE R'000	AVAILABLE TO YEAR END R'000	% Spent
ADMINISTRATION	256 966	6%	196 909	77%	201 483	(4 574)	55 483	78%
INTERNATIONL RELAT&AFFAIRS	76 677	2%	68 342	89%	58 575	9 767	18 102	76%
ICT POLICY DEV&RESEARCH	43 142	1%	31 032	72%	20 677	10 355	22 465	48%
ICT Enterprise Develop and SOE Oversight	1 596 919	40%	1 357 603	85%	1 352 466	5 137	244 453	85%
ICT INFRASTRUCTURE SUPPORT	1 922 711	48%	1 647 351	86%	142 040	1 505 311	1 780 671	7%
ICT INFO SOCIETY&CAPACTY DEV	72 196	2%	57 450	80%	43 823	13 627	28 373	61%
Total	3 968 611	100%	3 358 687	85%	1 819 064	1 539 623	2 149 547	46%

As of the 31st December 2024, the Department had spent 46 per cent against its allocated budget of R4 billion, with total underspending of R1.6 billion. The variance of R1.4 billion is 97 per cent driven by SA Connect underspending.

- Of the R2 billion under goods and services, R1.9 billion is allocated to SA Connect.
- Of the R1.6 billion major transfers to the entities, SAPO is allocated R548 million for Universal Service Obligation, ICASA is allocated R470.5 million, R134 million to USAASA, R96 million to NEMISA, R103 million to the Film and Publication Board and R211 million to the SABC.

Spending at the end of the Third Quarter is R169.6 million or 8.5 per cent lower than projected. This is mainly due to lower spending on goods and services mainly under computer services resulting from delays in the verification of SA Connect Phase 1 invoices for Broadband Infracore (BBI), and payments to the State Information Technology Agency (SITA), as well as a change in the accounting standards that is restricting advance payments for Phase 2 of the SA Connect programme.

There is higher than projected spending under households due to leave gratuity made to employees who left the employment of the Department. The shortfall will be covered through the shifting of funds.

The slow spending of R900 000 under Payments for Capital Assets is due to delays in the acquisition of assets for 2024/25 as the procurement processes are still underway.

As of 31 December 2024, the under/overspending can be explained as follows, as per the Economic Classification:

- Compensation of employees has an underspending of R26.2 million, due to the unfilled funded positions as the implementation of the approved organisational structure is in progress and will still take time due to processes such as job profiles, migration of employees, etc.
- Goods and services have an underspending of R1.5 billion, of which R1.5 billion is on the SA Connect project because only BBI and SITA Phase 1 payments were made. On 6th November 2024, advance payments were made to BBI and Sentech for Phase 2, and these will be reflected as expenditure once the entities confirm payment.
- Transfers and subsidies have a variance of R4.5 million due to leave gratuity payments made.
- Payments for Capital Assets have an underspending of R7.7 million, as asset acquisition is in progress.

Spending Per Programme

Programme 1: Administration: Spending of R201.5 million under this item is R2.5 million lower than the projected R204 million up to the Third Quarter. Despite overall lower than projected spending, 1.2 per cent variance under goods and services is due to higher spending on legal fees as a result of the SAPO business rescue case that was not budgeted for, and unbudgeted expenditure related to the Presidential Inauguration where the department had entered into contracts with SABC and Sentech over services that the two Entities had to render for the inauguration. Households' expenditure also contributed to higher spending due to leave gratuity paid to employees who resigned during the year. The shortfall will be covered through the shifting of funds.

Programme 2: ICT International Relations and Affairs: Spending of R58.6 million under this item is R2 million lower than the projected amount of R60.5 million up to the Third Quarter. The variance of 3.3 per cent is attributed to slow spending on employee compensation due to vacant posts within the branch, as well as lower spending on transfers to international organisations caused by fluctuating exchange rates, resulting in a saving.

Slow spending in venues and facilities is due to meetings that did not take place as planned, such as stakeholder and expert meetings to assist South Africa in developing proposals in line with the G20 priorities for next year, as well as some preliminary meetings taking place virtually.

Programme 3: ICT Policy, Development and Research: Spending of R20.7 million under this programme is R3.5 million lower than the projected amount of R24.2 million up to the end of Third Quarter. The variance of 14.6 per cent is mainly due to slow spending on goods and services due to less travel and payment of subsistence allowances, as well as delays of some policy projects to allow for additional research to be conducted, which has delayed the appointment of service providers. In addition, the variance under travel and subsistence is a result of meetings being held on virtual platforms, while slow spending on advertising is due to the delayed gazetting of the Electronic Communications Amendment Bill (ECA Bill) that is awaiting approval from the Minister and stakeholders.

Finally, slow spending under consultants was due to funds allocated to pay the service provider for the updating of the Implementation Plan for Digital Economy Masterplan (DEM) not being utilised, as the project was paid through sponsorships. These funds will be redirected to other areas.

Programme 4: ICT Enterprise and Public Entity Oversight: Spending of R1.4 billion under this programme is R1.4 million lower than the projected amount of R1.4 billion up to the Third Quarter. The variance of 0.1 per cent is due to slow spending on goods and services, mainly under travel and subsistence, due to the cancellation of the GovTech Conference, as well as meetings being held on a virtual platform. Furthermore, slow spending on consultants is due to delays in appointing board members for the Postbank Bank Controlling Company (BCC) and SAPO; the recruitment advertisement is still underway.

Programme 5: ICT Infrastructure Development and Support: Spending of R142 million under this item is R153.6 million lower than the projected amount of R295.6 million up to the 3rd quarter. The variance of 52 per cent is primarily due to delays in the payments for the SA Connect Phase 2 project, which does not have significant expenditure to date. BBI and SITA implement Phase 1 and Phase 2 projects, while Sentech implements only Phase 2 projects. As of the end of December 2024, the expenditure reflects only payments made for Phase 1 of BBI and SITA to the total amount of R107 million.

The slow spending on Phase 2 is related to a change in the Modified Cash Standards, which restricts prepayments and advances from being expensed as of 1 April 2024. In the absence of prepayment,

the implementing agents did not have the funds to go out on tender. However, BBI and Sentech have since submitted expenditure reports as required, while a submission is still expected from SITA. There is higher spending under households due to leave gratuity made to employees who have left the employment of the Department, as well as gifts and donations for condolences given to officials as per the funeral policy. The existing shortfall will be augmented during final virement after 31 March 2025.

Programme 6: ICT Information Society and Capacity Development: Spending of R43.8 million under this item is R6.6 million lower than the projected amount of R50.4 million for the Third Quarter. The variance of 13.1 per cent is mainly under consultants for planned projects. The roll-out for training on broadband and digital skills for the scheduled provinces, North West and Eastern Cape, did not take place as planned due to delays in securing dates with Provinces.

Personnel

The Department has a total budget of R312.5 million for compensation of employees in the 2024/25 financial year. At the end of December 2024, the Department had spent R206.2 million, which is lower than the projected amount by R12 million. The slow spending is due to the critical vacancies not yet filled due to a moratorium as the Department was finalising its organisational structure. The Department's structure has since received concurrence from DPSA and has been approved by the Minister by 31 August 2024. The Department is in the process of job profiling to start the recruitment process.

Virements

The National Treasury approved no virements during the Third Quarter.

Issues for the Committee to Consider (SCOA)

SA Connect project: Phase 2: BBI and Sentech have submitted expenditure reports as required. The payment for SITA is still not done because of the late submission of expenditure reports. Confirmation of balances letter was written to the Chief Financial Officers (CFOs) of BBI and Sentech by the CFO of the Department on the 26th of November 2024. The Department therefore intends to make a payment of R1.4 billion for this project in January 2025, which will significantly reduce the slow spending.

3.2 Quarter 4 Expenditure Performance

PROGRAMME	Adjusted Budget	BUDGET %	Budget to 31 March 2025	Budget % to 31 March 2025	Expenditure as at 31 March 2025 R'000	VARIANCE R'000	AVAILABLE TO YEAR END R'000	% Spent
ADMINISTRATION	273 812	7%	273 812	100%	262 245	11 567	11 567	96%
INTERNATIONAL RELAT&AFFAIRS	75 936	2%	75 936	100%	65 860	10 076	10 076	87%
ICT POLICY DEV&RESEARCH	39 691	1%	39 691	100%	27 831	11 860	11 860	70%
ICT Enterprise Develop and SOE Oversight	1 742 840	44%	1 742 840	100%	1 741 447	1 393	1 393	100%
ICT INFRASTRUCTURE SUPPORT	1 768 904	45%	1 768 904	100%	755 232	1 013 672	1 013 672	43%
ICT INFO SOCIETY&CAPACITY DEV	67 428	2%	67 428	100%	62 548	4 880	4 880	93%
Total	3 968 611	100%	3 968 611	100%	2 915 163	1 053 448	1 053 448	73%

As of the 31st March 2025, the Department had spent 73 per cent against its allocated budget of R3.9 billion, with total underspending of R1.1 billion.

The variance of R1 billion constitutes 95 per cent of the total underspending, which is mainly driven by the SA Connect project. The Department and support service providers must find ways to bridge the liquidity challenge that constrains the implementation of the SA Connect project.

As at 31 March 2025, the under/overspending can be explained as follows, as per the Economic Classification:

- Compensation of employees has an underspending of R36.3 million due to unfilled positions. The process for developing job descriptions and conducting job evaluations for the remaining vacant positions is still underway, which will enable the advertisement.
- Goods and services have an underspending of R1 billion, of which R1 billion relates to the SA Connect project. However, a rollover request was submitted to the National Treasury for consideration and approval in this regard.
- Payments for Capital Assets have an underspending of R2.2 million, due to the assets acquisition for laptops that did not materialise as planned.

Spending Per Programme

Programme 1: Administration spent R263.2 million against an allocation of R257 million.

Overspending is R5.7 million or 2.2 per cent, mainly on legal fees because of the South African Post Office (SAPO) business rescue case that was not budgeted for, as well as the unbudgeted funds that the Department had to utilise for the Presidential Inauguration. The Department will shift funds to cater for this overspending.

Programme 2: ICT International Relations and Affairs spent R65.9 million against an allocation of R76.2 million. Spending is R10.3 million or 13.5 per cent lower than projected due to vacant posts within the branch. Underspending was also noted on transfers to international organisations caused by fluctuation of exchange rates, which were lower than budgeted for and resulted in a saving.

Programme 3: ICT Policy, Development and Research spent R27.8 million against an allocation of R43.1 million. Spending is R15.3 million or 35.5 per cent lower than projected, mainly due to underspending on compensation of employees as a result of unfilled posts within the branch, as well as other goods and services items. Goods and services underspending includes travel and subsistence due to less travel payments made as meetings were held on virtual platforms, while underspending on consultants: research and advisory services was due to the allocated budget to pay the service provider for the updating of the Implementation Plan for Digital Economy Masterplan (DEM) not being spent as the project was paid through sponsorships.

The funds were redirected for the gazetting of the DEM and conference facilities for the launch. Delays were noted on some projects to allow for additional research to be conducted. Underspending on training and development was due to officials attending courses and conferences that did not require funding, and this resulted in a saving under this item.

Programme 4: ICT Enterprise and Public Entity Oversight spent R1.7 billion against an allocation of R1.7 billion. Underspending is R5.5 million or 0.3 per cent of available funds, mostly on consultants due to the delayed appointment of the Postbank Bank Controlling Company (BCC) and SAPO Board members, as the process is still being finalised. The advertisement for the recruitment is still underway, and expenditure is anticipated to be incurred in the new financial year.

Programme 5: ICT Infrastructure Development and Support spent R838.4 million against an allocation of R1.8 billion. Spending is R934.3 million or 52.7 per cent lower than allocated, mostly due to underspending on the SA Connect project: Phase 2. This is primarily due to a change in the Modified Cash Standard (MCS) as of 1 April 2024, which restricts prepayments and advances. In the absence of prepayment, the implementing agents did not have sufficient funds to go out on tender, resulting in an underspend. The Department is exploring possible mechanisms through which the Department can incur expenses in a compliant way to enable completion of the project.

Programme 6: ICT Information Society and Capacity Development spent R62.5 million against an allocation of R72.2 million. Spending is R9.6 million or 13.4 per cent lower than projected, primarily due to vacant posts within the branch. Underspending on goods and services is attributed mainly to consultants, primarily due to projects that did not proceed as planned, and also due to the procurement memo and draft terms of reference not being submitted to supply chain management (SCM) in a timely manner.

Personnel

At the end of March 2025, the Department had spent R274.1 million, which is lower than the projected amount by R38.4 million or 12.3 per cent. The slow spending is due to vacancies not yet filled. The new organisational structure received concurrence from DPSA and has since been approved by the Minister.

This gives way to the process of job profiling in order to start the recruitment process. New appointments will only be undertaken in the latest financial year of 2025/26.

3.2.1 Virements

Approved by the National Treasury

- Approval granted to increase transfer payments of the SA Post Office: Operations by R150 million.
- Approval for R4.7 million to be shifted from capital assets under Programme 1: Administration towards goods and services (legal services) within the same programme was granted.
- Approval for R1.1 million to be moved out of transfers and subsidies (foreign government and other institutions) under Programme 2: ICT International Relations and Affairs towards goods and services within the same programme.

Issues for the Committee to note (SCOA)

SA Connect project Phase 2: To enable the finalisation of this project that seeks to connect South Africans through a minimum speed of 5Mbps for households and 10Mbps for government facilities,

including public schools and health facilities, the Department has applied for a rollover of underspent funds from 2024/25 to 2025/26 in terms of Treasury Regulation 6.4 and will explore expensing mechanisms in line with modified cash accounting standards.

4. Observations

Having considered the Third and Fourth Quarter Reports for the financial year 2024/2025 of the Department and its Entities, the Committee noted:

- its appreciation to the DCDT and Entities for the presentations made;
- that because of the funding for the SA Connect Programme, among others, the Department must adjust its APP accordingly;
- and welcome the empowerment of women at the helm of Entities, which gives hope that South Africa is indeed transforming;
- with concern that the Department is not achieving its planned targets, especially those relating to policy;
 - the greater concern is about the slow pace of policy development, critical to South Africa's economic goals;
- with great concern, the lack of leadership to champion policy reform as proposed in the ICT White Paper, including the rationalisation of State Entities, including merging of the regulators, establishment of a Digital Fund and State Digital Infrastructure Company (SDIC);
- with concern that the slow pace of finalising the SABC Bill further compromises the SABC from being sustainable and delivering on its mandate;
- with great disappointment, the inability of the Department to deliver on its key mandate is creating policy and regulatory uncertainty;
- with great concern, the lacklustre approach to collaboration between SAPO and Postbank, which seems not to be able to leverage from one another;
- with serious concern that the SA Connect programme has run out of funds and that SMMEs remain unpaid;
- with more concern that the Department is underspending because of the SA Connect funds that have not been spent;
- that it will be a futile exercise for the Department and ICASA to engage in releasing new spectrum before a progress update of the implementation of social and coverage obligations attached to the recent spectrum auction; and
 - that ICASA will conduct a competition assessment before engaging in the release of additional spectrum.

On Postbank the Committee noted:

- and welcomed the presentation;
- with concern that some KPIs are not measurable;
- and welcome the improvements in performance over time, and gives a sense of hope;
- and welcome Postbank initiatives to enter the retail space;
- with concern that the government does not support Postbank by ensuring that some of the government disbursement work is done through the State bank;
- and appreciated that the variation notice and all the conditions had been resolved; and
- with concern to the statistics that 70% of South Africans used their bank accounts as a post box to get their salary and did not use them afterwards.

On SABC the Committee noted:

- and thank the public broadcaster for airing the Africa Cup of Nations (AFCON) under-20 finals;
- that the AmaNdebele Kingdom laid a complaint that isiNdebele is not adequately covered and the iKwekwezi FM is not available in some regions;
- with concern that the new organisation structure and cost-containment measures of 2020 impacted negatively on regional television service, including broadcasting in isiNdebele;
- with concern about the financial constraints experienced by the public broadcaster;
- with concern that the public service mandated cost around R2.3 billion per annum, and around R7 billion over three years;
 - with more concern that the public service remains unfunded;
- and welcome the growth in TV license collection revenue;

- however, with concern that only 19% of South Africans were TV license holders, are compliant and that the SABC has not collected revenue from new TV set sales;
- that there is limited or no enforcement of the law, especially with retailers;
- that the current TV license regime is no longer fit-for-purpose;
- with concern that the government debt as at the end of the 2025 financial year was around R35 million;
- with great concern that the inability of the Department to finalise the SABC Bill is hampering the public broadcaster from delivering on its mandate;
- with concern that the outside broadcast equipment is outdated, further incapacitating the public broadcaster from delivering on its mandate;
- that the viewership of the SABC YouTube platform is 1.49 million, but has not translated to real monetary value;
- with appreciation that the CFO position has been advertised, shortlisting and interviewing will be underway;
- with concern that the SABC remains with other unpaid creditors over and above the R1 billion owed to Sentech for signal distribution costs;
- with further concern that the R1.2 billion spent on the procurement of compelling content has not translated to audience and revenue growth;
- with concern that fresh local content is a key driver for South African audiences and is glaringly lacking;
- that development in technology means that linear television advertising revenue is on a consistent decline because audiences are continuously shifting from linear viewing to a multi-platform; and
- with appreciation that, although negligible, the SABC generates revenue from its digital sales, including YouTube.

On SITA the Committee noted:

- i) that SITA was in the process of revising its targets;
- ii) with concern on the instability of governance at SITA;
- iii) with great concern that the leadership instability at SITA hinders its service delivery mandate; and
- iv) with concern the skills shortage in Supply Chain Management.

On SAPO the Committee noted:

- and welcomed the Temporary Employee Relief Fund provided by the Minister of Employment and Labour, albeit only for 6 months;
 - however questioned if this will provide adequate relief and whether plans are in place to capitalise on the temporary relief;
 - further welcome the reduction of audit findings;
- welcome efforts around the management of the debt of the post office;
- commend the BRPs on getting the provisional liquidation order discharged;
- that BRPs fees are regulated by the Companies Act based on an hourly rate;
- that discussion between the BRPs and the Department is ongoing regarding the exit plan;
- with appreciation that the 2024/25 financial year showed benefits of a business rescue;
 - that while SAPO remains insolvent, the reduced headcount and compromise of creditors have reduced chances for liquidation;
- and commend the significant savings reductions of around R2 billion and R1.4 billion for staff costs;
 - that property partnerships contributed to the revenue;
 - that while the staff cost savings are commendable, it came at the expense of employees who had to be retrenched;
- with concern, however, that cash flows remain a challenge at SAPO;
- and welcome the constructive discussions to consider piloting the issuance of passports at SAPO branches;
- with concern that there is low staff morale at the post office and employment conditions have not improved;
 - that the retrenched staff issues remain unresolved;
- that the 657 remaining branch footprint enables SAPO the efficiency to maintain a balance between the provision of services to citizens across South Africa;

- that SAPO has a strategy to make profitable all remaining branches including those allocated for USO;
- with concern that SAPO does not have a measurable strategy to diversify its business revenue;
 - however, with appreciation that SAPO is exploring delivery alternatives, including soliciting digital partnerships to create a digital platform that enables e-registered letters and mail, with expected revenue of over R1.5 million;
- with more concern that the skills drain, high attrition and the absence of a permanent CEO organisation have all contributed to the lack of driving a revival strategy for SAPO;
- with further concern about the revenue decline of the post office;
- that the 1 kilogram exclusivity remained under Section 18 of the SAPO Act and would continue to exist until ICASA makes a decision otherwise;
 - that the decision on the application could take about 18 months, and the DCDT is aware of the current court cases and litigation;
- that the decline in the investment in hardware and software will impact the efficiency of SAPO; and
- that government is not supportive of SAPO as it should be;
- that the Business Rescue Plan was dependent on the condition that the statutory creditors that received 8 cents would, once the R3.8 billion injection was received, they would receive an extra 18 cents; however, this money was not forthcoming; and
- that engagements continue with the statutory creditors to understand their position as creditors and to reach an arrangement.

On FPB, the Committee noted:

- with serious concern that FPB was in a R 2.7 million net deficit;
- with concern that the Entity is not meeting the target of self-generated revenue; and
- with concern that the FPB is underspending.

On ICASA, the Committee noted:

- and conveyed its deepest condolences to the Chairperson of ICASA for the family bereavement;
- with relief that ICASA now has a full complement of the Council, which will help to stabilise governance of the Regulator;
- with concern about the looming strike at ICASA;
- however, there is progress to prevent the strike;
- with concern that ICASA did not achieve eight (8) of its targets;
- with more concern that some of the unachieved targets include women in professional occupations;
- that ICASA faces challenges in people, processing and payments in the finance division, which leads to delays in payments of service providers;
 - that these challenges are inherently impacting negatively on supply chain management;
 - with some relief that measures are in place to counter the attrition;
- that there is an overreliance on utilising external service providers, partly caused by the lack of internal capacity and a constrained budget to fill structural requirements;
- with serious concern on the fruitless and wasteful expenditure experienced at ICASA;
- with concern that ICASA received an unqualified audit with findings;
- with further concern that ICASA lacks the funding to develop and implement a fit-for-purpose structure to regulate effectively and independently;
- with concern about the vacant posts and that the women and youth participation target was not achieved; and
- with concern that there is zero procurement of companies led by PLWD.

On NEMISA, the Committee noted:

- with concern that NEMISA had a shortfall in training of digital literacy, which was their core mandate; and
- with great concern that NEMISA only trained 10 per cent of SMMEs and 26 learners on cell phone repairs, whilst it had a 9800 target.

On BBI, the Committee noted:

- with concern that the late submission of the reports documents negatively affects the effective and timely oversight work of the Committee;
- with concern over consequence management and that the Minister previously committed to implementing consequence management for those responsible for delays;
- with concern that the operational expenditure increased due to employment costs and security services;
- with concern on the lack of coordinated efforts between BBI's with other state-owned entities; and
- with concern about BBI's financial stability and reliance on government support.

On USAASA/USAF the Committee noted:

- with concern that the invoices were not paid within 30 days because of administrative issues;
- with serious concern that the Gender Base Violence (GBV) target was not met; and
- with concern that the consequent management issues were not addressed.

On Sentech, the Committee noted:

- with concern that the impact of SABC debt on Sentech has implications for the sustainability of Sentech;
- with appreciation on Sentech's improvement in performance from Q3 to Q4, noting some recovery targets were met;
- with concern that performance indicators remained below expected levels, especially in infrastructure development and service coverage;
- that it required clarity on the progress made on digital migration and infrastructure rollout, including delays in set-top box installations;
- with concern about Sentech's limited product diversity, despite having vast infrastructure such as the transmitter high sites, where there could be more shared services offered from those sites;
- with concern that vacancies and delays in filling key posts were having a direct impact on performance delivery; and
- with concern that some performance indicators were too broad or not linked to strategic outcomes, and there was a request for more detailed and specific metrics in future reports.

5. Recommendations

Having considered the Third and Fourth Quarter Reports for the financial year 2024/2025 of the Department, the Committee recommended that the Minister:

On DCDT:

- ensure that the Department present a concrete implementation plan with a clear funding model to ensure that the digital transformation fund effectively bridges the digital divide, particularly for underserved communities;
- ensure that the Department leads an assessment initiative to identify digital skills gaps and develop coordinated transformative capacity building programme focused on youth, women and person with disabilities as a joint venture with the respective portfolio committee;
- ensure that the Department implements an employment tracking system to ensure that the digital employment opportunities are harnessed;
- that the Department undertake a comprehensive review of all entities reporting to it with the aim to identify and eliminate overlapping functions and mandates and enhance operational efficiency, ensure better alignment with the Department's strategic objectives and national digital transformation priorities;
- must improve collaboration of Entities reporting to the Department, including between SAPO and Postbank, and present a strategy with achievable targets and timelines for establishing a sustainable intra and inter-governmental relations to support the delivery on the mandate of the post office;
 - including (i) detailed presentation on the Service Level Agreement between SAPO and Postbank; (ii) how government will support the sustainability of SAPO to leverage from shared infrastructure access from all local, provincial and national governments to help diversify revenue streams for SAPO while ensuring government meets USO objectives; and (iii) progress towards establishing and stabilisation of the governance structure;

- expanding current relations, especially with the Department of Transport and the Department of Home Affairs, in expanding work streams in the property portfolio and continuing to roll out services across all 657 branches; and
- provide quarterly progress reports;
- ensure the Department leads by example and achieves all planned targets;
- hold the Director General, as the accounting officer of the Department, accountable for non-achievement of targets;
- should collaborate with the Leader of Government Business and the Department of Cooperative Governance and Traditional Affairs to encourage doing more business with SAPO;
- should find means to guarantee that the R3.8 billion commitment to rescue SAPO is met and report quarterly to the Committee on progress to guarantee the funding;
- address all audit findings by AGSA and provide regular updates to the Committee;
- ensure that Postbank achieve its mandate for inclusive growth;
- bring the Committee into confidence that the Department will provide policy and regulatory certainty so critical to an inclusive digital economy;
- must present a detailed plan on resolving the impasse relating to the digital switchover before the end of the 4th Term;
 - address any policy and regulatory uncertainty as a strategy to strengthen collaboration and partnership with industry;
 - provide regular updates of discussions between the Minister and the broadcasters;
- oversee and urge the Department to expediently finalise (i) the long overdue SABC Bill; and (ii) the White Paper on Audio- and Audio-Visual Media Services and Online Safety Content;
- commence discussions with National Treasury on (i) exemptions of specific provisions of the Public Finance Management Act 1 of 1999 to be made permanent, to assist the SABC indirectly; (ii) consider providing guarantees to allow the SABC to engage in the capital market and raise capital; (iii) alignment of budget allocation for SA Connect to the predetermined multi-year phases of the Programme to prevent challenges such as delayed payments of SMMEs; (iv) flexible alignment of budget allocation for spectrum processes to ICASA; and (v) address the declining budget allocation and other funding challenges of the Regulator instead of reliance on estimates;
- engage the Leader of Government Business to encourage government departments to spend their media advertising and marketing budgets through SABC platforms;
- explore avenues for SABC to access the Universal Service Fund to support and sustain the public mandate, not to exclude the possibility for the public broadcaster to utilise the funds to settle signal distribution costs;
- urgently resolve financial challenges of the SA Connect programme and pay SMMEs;
- ensure the Department reports back on the consequence management plan and implementation upon adoption of the report;
- ensure the Department provides a detailed plan on filling critical vacancies upon adoption of the report; and
- present a detailed audit of progress made to deliver on social obligations, including those attached to the recent spectrum auction sale by licensees.

Regarding SAPO

- that the development and implementation of a 'post office of tomorrow' strategy;
- that sees SAPO transformed into a multiservice community hub offering a vast array of government services;
- that the Department continues to probe and engage National Treasury on the R3.8 billion bailout and/or alternatively look at other options available to assist SAPO;
- should mandate the Department to provide a specific and measurable strategy to diversify the SAPO revenue stream beyond the traditional postal services and present to the Committee during the following quarter from the adoption of this report, and the strategy should include:
 - confirmed partnership programmes, business diversification projects and sustainability plans of a fit-for-purpose post office;
 - the SAPO USO mandate in a digital economy;
- should ensure the Department uses the cash flow relief from the Temporary Employee Relief Fund as an opportunity to expedite and improve efficiency at SAPO;

- ensure that SAPO meets all conditions as well as ensure that the business is stabilised within the prescribed six months of the disbursement of the TERS funds, and report quarterly to the Committee from the date of disbursement of 1st trench;
- ensure that SAPO provides a report to the Committee upon adoption of this report, on the strategies developed to improve efficiency and stabilise SAPO while disbursing TERS funds;
- ensure that SAPO replicates the business model of all profitable outlets;
 - that outlets servicing rural communities are prioritised and always consider the travel distance of citizens;
- ensure that SAPO prioritises the security and safety of workers when carrying out their duties;
- expedite the appointment of a permanent CEO and provide updates on the finalisation of the appointment when appearing before the Committee;
- must ensure SAPO has adequate support to address non-performance;
- upon adoption of the report, provide quarterly reports on measures implemented to improve staff morale, including (i) response of the post office on matters raised from engagement with representative unions; (ii) plans to address concerns raised by the retrenched staff; and (iii) response to all other oversight reports recommendations including about Provinces;
- update the Committee on any development on an agreement between SAPO and the statutory creditors regarding arrangements for settling accounts;
- on 28 May, the Committee would be briefed on the exit plan and issues around partnerships from now on; and
- ensure that the statutory creditors' agreement is expediently resolved and the Committee is provided with quarterly reports on progress towards reaching an agreement.

On Postbank

- the Department put measures in place to ensure that the Postbank has a commercial licence as well as timelines to this process
- ensure measurable steps are in place for Postbank to recover lost revenue;
- must direct the Department to ensure that Postbank achieves all its targets;
- ensure the Department puts strategies and measures in place to retain and grow Postbank customer base;
- continue to protect citizens' rights to choose a bank of their choice;
- continue to target government departments to conduct business through Postbank;
- ensure regulatory compliance of the Bank; and
- finalise the management structure of the Bank;

Regarding SABC

- expedite the development of a new sustainable funding model for the public broadcaster and commit to timelines for the completion of the process;
- should develop a system to encourage citizens to pay license fees;
- continue to improve strategies for TV license revenue;
- ensure that the SABC continues to pay Sentech for signal distribution services and amicably reconcile the R1 billion outstanding debt;
- manage relations between Sentech and SABC to improve collaboration and partnership;
- diversify its service offering through a dedicated infrastructure as a service unit;
- ensure there are contingency plans to prevent future industrial action by labour on salary disputes;
- ensure a balance between employee demands and fiscal realities;
- ensure that the SABC provides auditable plans to monetise on OTT platforms viewership and report to the Committee shortly upon adoption of the report;
- continue to explore alternatives to diversify revenue streams and respond to multi-platform viewership of audiences;
- pursue meaningful partnerships and collaboration to develop compelling local content sustainably;
- provide regular updates about the ongoing Commission for Conciliation, Mediation and Arbitration (CCMA) case with unions over salary increases; and
- continue to pursue alternative revenue streams through digital sales on popular OTT platforms.

About ICASA

- ensure that in carrying out its mandate, the ICASA annual performance plan is guided acutely by all relevant legislation;
- ensure that ICASA is optimally equipped to deliver on its mandate, including technology systems;
 - present a modernisation strategy of a digital regulator to the Committee within the 2025/26 financial year;
- improve the capacity of the Regulator to empower its independence and provide efficient and effective regulation of the ICT sector;
- ensure that the Council embarks on a campaign to improve all the skills;
- address matters related to late payments of service providers;
- ensure that plans and related costing match the deliverables and related budget spend; and
- upon adoption of this report, present to the Committee a plan to expediently address the key challenges of systems, processes and skills.

On BBI

- Ensure that consequence management is followed through;
- Ensure a strengthened coordination with other ICT-focused entities to avoid duplication and to enhance national broadband rollout efforts;
- Ensure that future BBI reports have clear and measurable indicators for infrastructure roll-out, regional coverage, and service accessibility; and
- Ensure accountability and report back on what disciplinary or corrective actions have been taken against officials responsible for the delay.

Regarding Sentech

- ensure there is a clear product diversification strategy for the financial sustainability of the Entity;
- ensure that there is an accurate database on the rolled-out set-boxes and those which are yet to be installed, and this plan is to be presented before the Committee by the third quarter of the financial year 2025/26;
- ensure that the SABC debt is resolved speedily for the sustainability of the Entity; and
- be directed to aggressively market its vast network of high sites for shared use.

The Committee shall endeavour to encourage Members of Parliament pay TV licenses. The Committee is also aware of the difficult economic circumstances, but there are promising results across the Entities. The Committee notes, however, that the Entities are not out of the woods yet, and the Shareholders' support is critical if the Entities are to deliver on their mandates.

The Committee urges the Minister to exercise close oversight over the implementation of the Department's mandate, strategically positioning South Africa at the forefront of the fast-growing digital economy.

The Committee will undertake to seek a legal opinion on the SAPO R3.8 billion bailout which was part of the BRP commitment and which National Treasury reportedly indicated will be unable to provide.

Report to be considered.